providing employment to more people, but employment growth is probably below the desired pace, given how productive service jobs are.

The slowdown in the rate of growth of services in 2011-12, and particularly in 2012-13, from the double-digit growth of the previous six years, contributed significantly to slowdown in the overall growth of the economy. While some slowdown could be attributed to the lower growth in agriculture and industrial activities, given the backward and forward linkages with services, lower demand from the rest of the world could also have played a part.

Financial Intermediation

The existence of well-developed and efficient financial markets is critical for achieving real economic growth. The country now has a vibrant and transparent financial market in terms of market efficiency, transparency, and price discovery process.

As far as the banking sector is concerned, the focus continues to be on reform initiatives which will facilitate the flow of credit to critical sectors of the economy including agriculture, infrastructure, micro, small and medium enterprises, housing, and export. Financial inclusion and improved accessibility of banking infrastructure remain high on the list of priorities of the government.

The performance of Indian banks during 2011-12 was conditioned to a large extent by the fragile recovery of the global financial markets as well as a challenging operational environment on the domestic front, with persistent high inflation and muted growth performance. Net profit growth of banks slowed down. Though Indian banks remained well-capitalised, concerns regarding growing NPAs persisted.

In the overall context of the evolving macroeconomic situation in the country and global financial developments, the government in close collaboration with the **RBI** and **SEBI** (Securities and Exchange Board of India) has recently taken a number of initiatives to meet the growing capital needs of the Indian economy these are –

a. Launching of the **RGESS** (Rajiv Gandhi Equity Savings Scheme) and SME exchange;